

The \$87.5 Million Escrow Gap

How
CRE
watch

A federal lawsuit alleges \$87.5M in escrow fraud.

Riverside Abstract and Nussbaum Lowinger are accused of orchestrating sham property flips, inflated valuations, and concealed kickbacks. The scheme exploited the trust placed in settlement agents.

SIGNIFICANCE

This isn't a small leak. It's a structural gap.

Escrow and title firms sit at the center of nearly every CRE transaction. When that trust is broken, capital flows are at risk. The case reveals a vulnerability that touches every lender, sponsor, and investor.

Fraud distorts the capital stack from the ground up.

Inflated valuations meant lenders underwrote to false numbers. Sham flips created phantom equity. When the truth emerged, the entire capital structure was built on sand. The simple version: if the base is wrong, everything above it is wrong too.

Who is watching the watchers?

Title companies and law firms are supposed to be the gatekeepers. In this case, they were the engine. The practical issue: how do lenders verify the integrity of the settlement process when the parties they trust are the ones cutting corners?

WHO CARES?

Three parties should be paying close attention.

- * Lenders: Your collateral may not be what you think.
- * Sponsors: Your reputation depends on the integrity of your partners.
- * Investors: Your return assumptions rely on honest valuations.

This is part of a larger pattern.

As capital becomes more selective, bad actors find new ways to exploit gaps. We're seeing more scrutiny on valuation, more questions about counterparty risk, and more demand for transparency in every layer of the transaction.

What to watch in the coming months.

- * Will regulators tighten oversight of title and escrow firms?
- * How will lenders adjust their underwriting to account for settlement risk?
- * Are there other cases like this waiting to surface?

THE LESSON

Trust is essential. Verification is non-negotiable.

In a market where capital is harder to find, the integrity of every link in the chain matters more than ever. Light Tower Group helps capital providers navigate these risks. Connect with Benjamin Rohr for capital strategy and placement.